

# Powering the AI Era

*HVDC Leadership & AI Server Thermal Solutions*

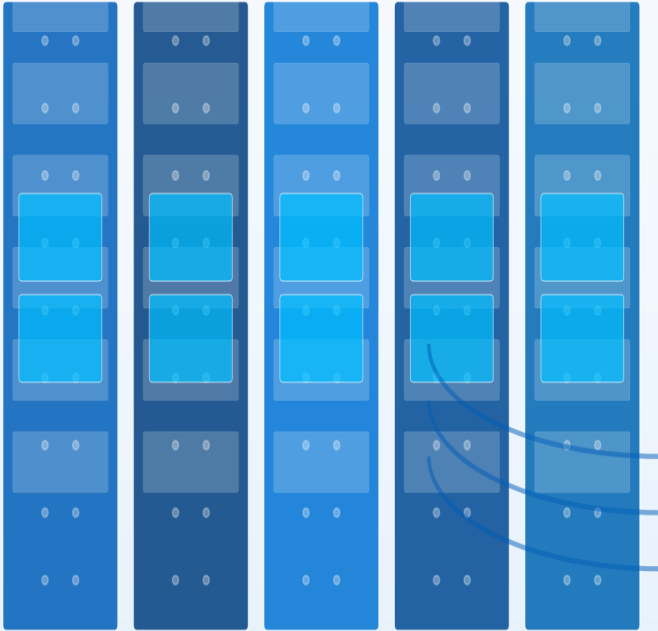
Light Clean Executive Report — May 2026

Delta Electronics | TMSBU | Confidential

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# Executive Summary

Five strategic imperatives for Delta TMSBU in the AI-powered data center era

HVDC leadership + liquid cooling capability = strategic differentiator for Delta TMSBU

**\$39.1B**

**AI Power TAM 2028E**

Global AI server power  
infrastructure market

▲ 24% CAGR

**700W+**

**GPU TDP Threshold**

GB200 NVL72 pushes  
thermal limits

Stable

**60%**

**Liquid Cooling 2026E**

Air cooling reaches  
physical ceiling

▲ from 20% in 2023

**\$3.2B**

**TMSBU SOM (High)**

Serviceable opportunity  
for Delta TMSBU

Scenario-based

**BBB**

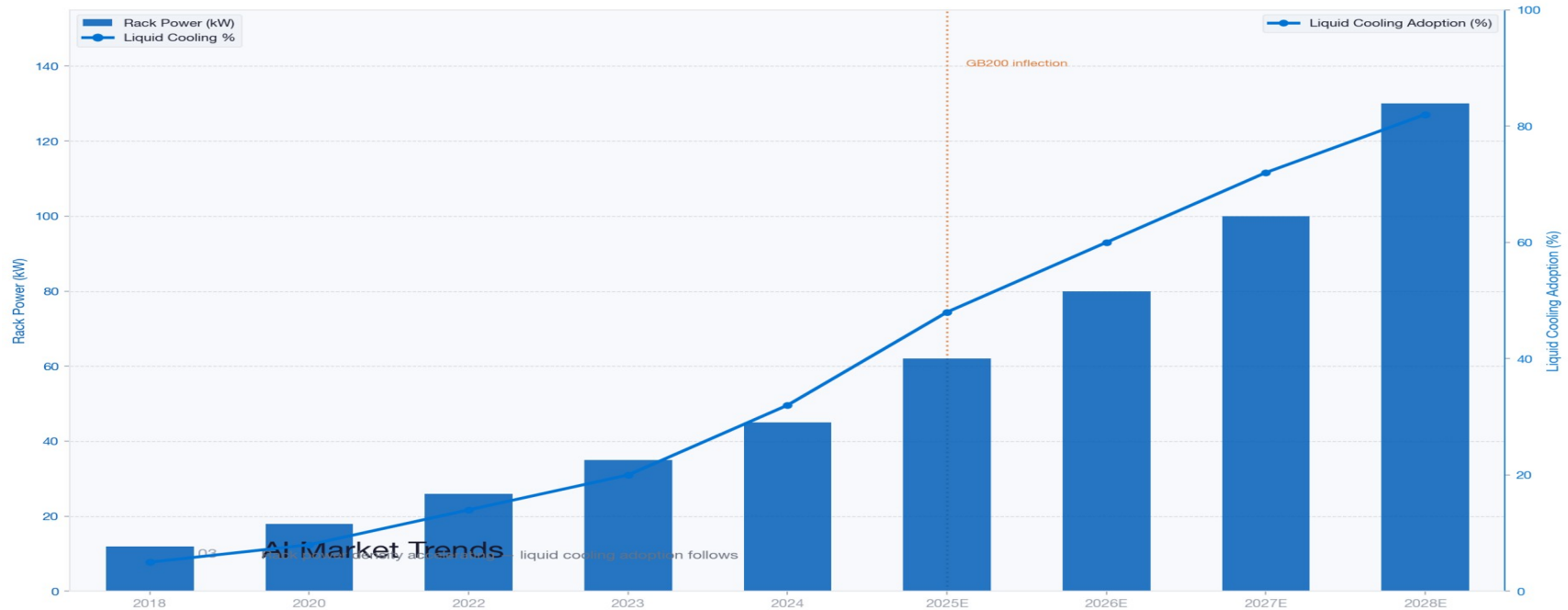
**Credit Rating**

Delta investment-grade  
financial strength

Stable

# AI Market Trends

*Rack power density accelerating — liquid cooling adoption follows*



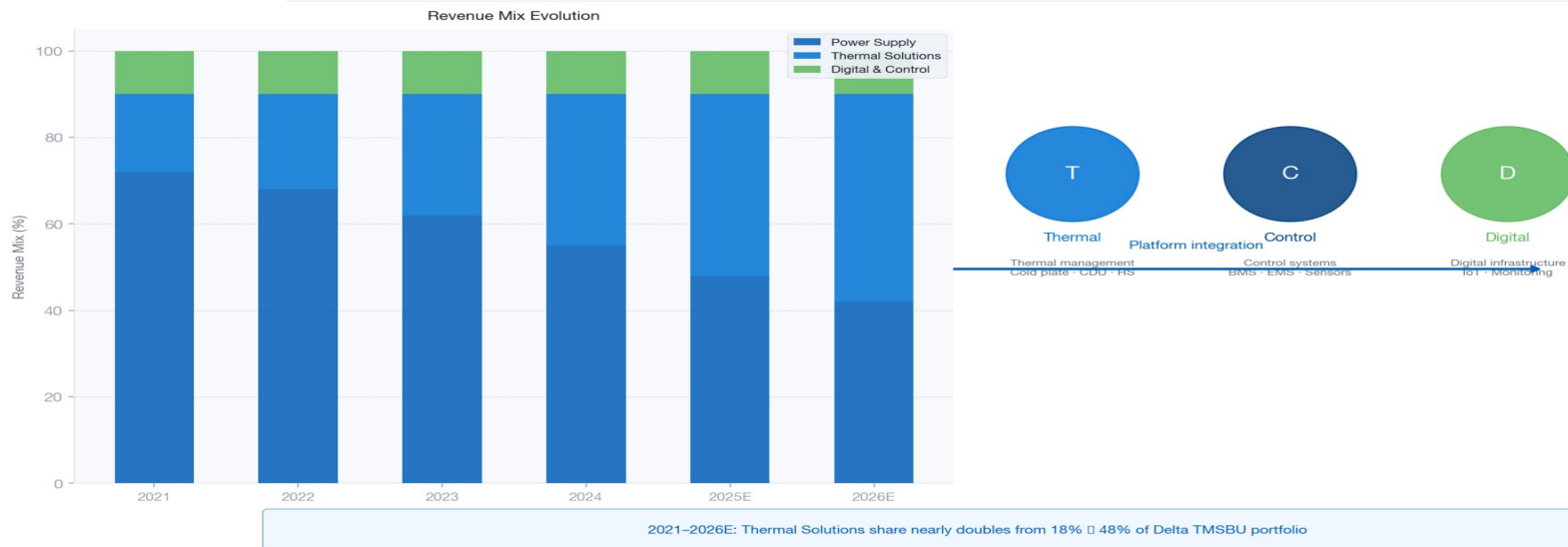
*GB200 inflection (2025E): GPU TDP 1,000W+ triggers rack power >80kW — liquid cooling is the only viable path*

# Delta Transformation Journey

*From power supply to AI infrastructure total solutions provider*

## 04 Delta Transformation Journey

*From power supply to AI infrastructure total solutions provider*



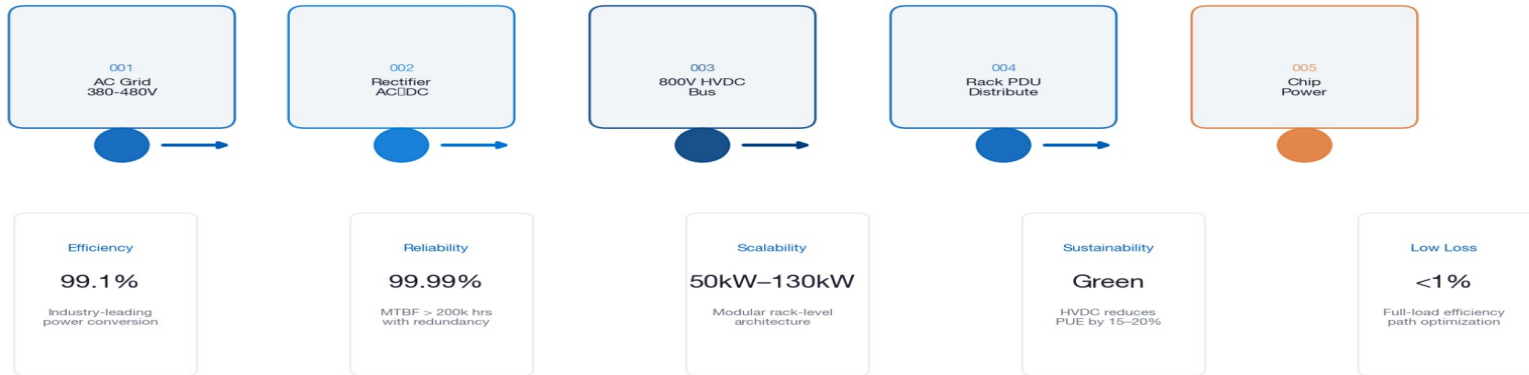
2021–2026E: Thermal Solutions share nearly doubles from 18% to 48% of Delta TMSBU portfolio

# HVDC Architecture

From grid to chip — Delta's integrated power-to-thermal value chain

## 05 HVDC Architecture

From grid to chip — Delta's integrated power-to-thermal value chain



Delta's HVDC architecture enables 130kW+ rack power with industry-leading efficiency

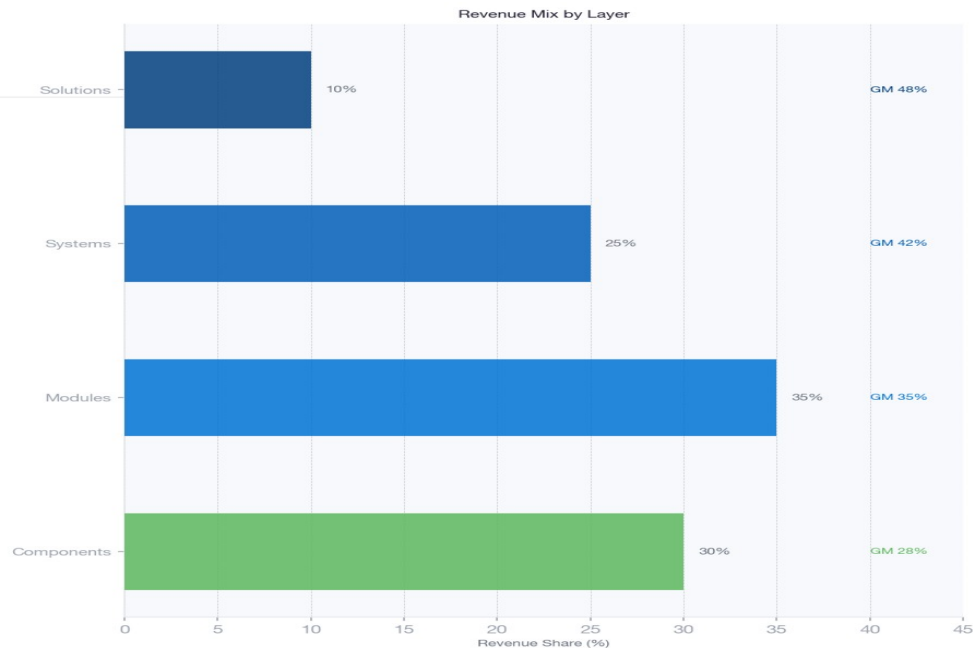
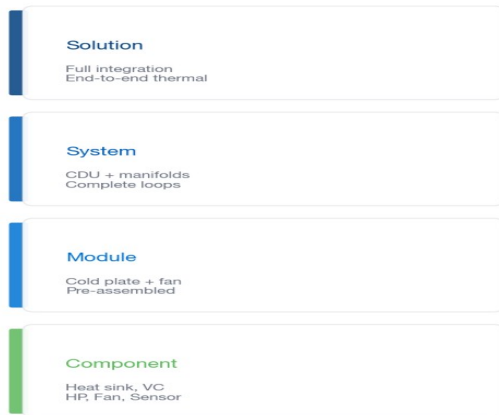
Delta's HVDC architecture enables 130kW+ rack power with industry-leading 99.1% efficiency

# Product Portfolio

Four-layer value ladder: Component → Module → System → Solution

## 06 Product Portfolio

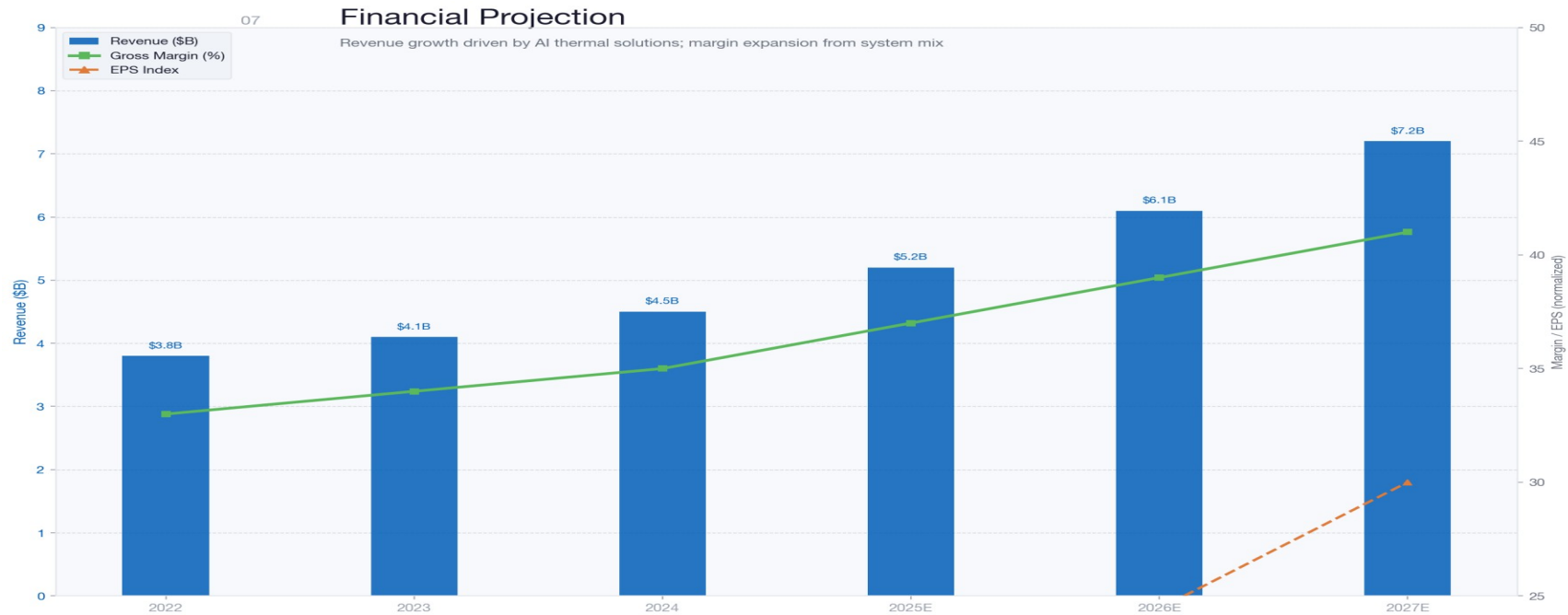
Four-layer value ladder: Component □ Module □ System □ Solution



Each layer adds customer value: Components (30%) → Modules (35%) → Systems (25%) → Solutions (10%)

# Financial Projection

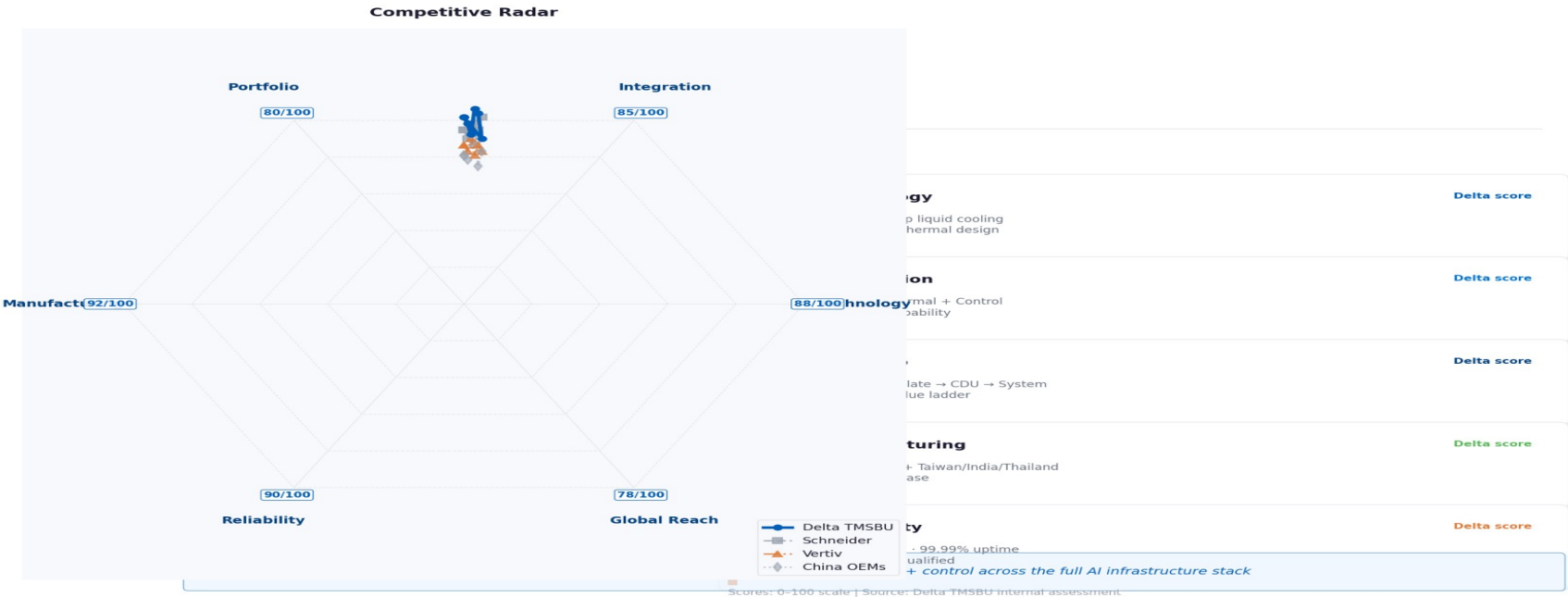
Revenue growth driven by AI thermal solutions; margin expansion from system mix



Revenue: \$3.8B (2022) → \$7.2B (2027E) | Gross Margin: 33% → 41% | EPS growth +125%

# Competitive Advantages

Delta TMSBU vs. global competitors — six-dimension strategic positioning

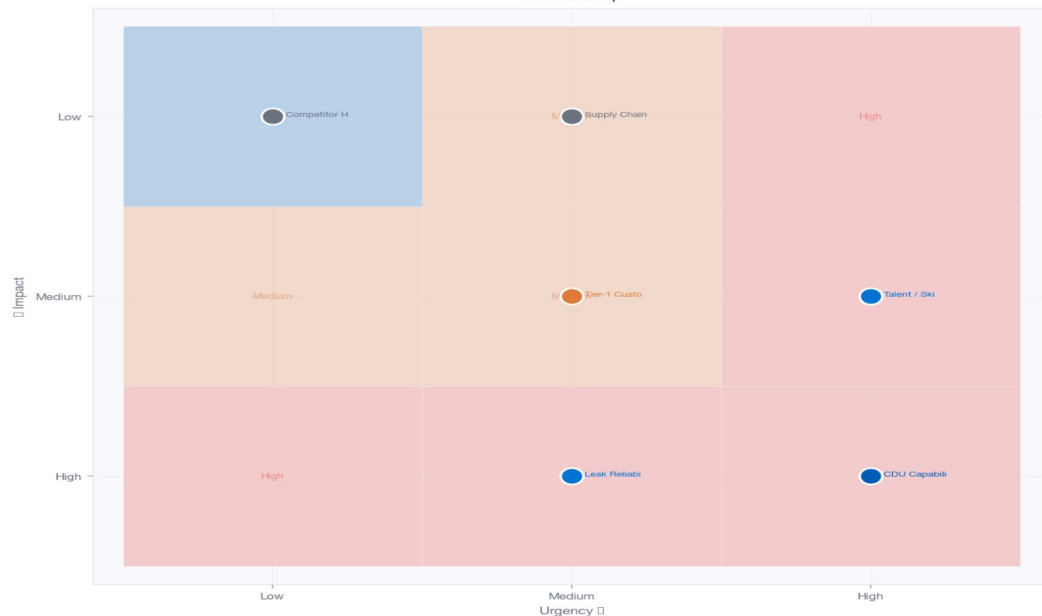


Delta's competitive moat: integrated power + thermal + control across the full AI infrastructure stack

# Capability Gap & Risk Assessment

Impact × Urgency matrix — strategic risk prioritization for TMSBU leadership

Risk Heatmap



## Immediate Priorities

- 1** **CDU Strategy Decision** 90 days  
Build · Partner · Acquire
- 2** **Leak Reliability Qualification** 6 months  
Cold plate + manifold + connector
- 3** **Tier-1 Customer Pipeline** 12 months  
Thermal design-in with top 3 OEMs

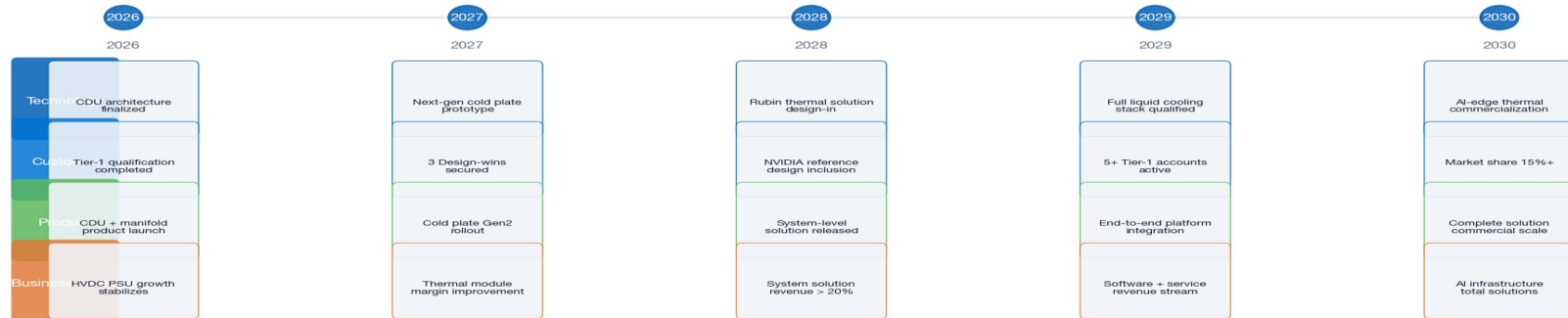
Top risk: CDU strategy (90-day decision window) | Leak reliability (6-month qualification) | Tier-1 pipeline (12-month)

# Strategic Roadmap

2026–2030: Four-lane execution plan — Technology, Customer, Product, Business Model

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Strategic milestones: 2026 CDU launch → 2028 system solution → 2030 complete AI infrastructure portfolio

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